



The near-religious belief in Bitcoin by its proponents leads many to accept it without criticism which can be the biggest danger of all.

a handful of risks that can affect users of all types - lack of community trust in the currency and the unknown reactions from governments.

Even though the community is highly active online and maintains a check on fraudulent activities by reporting them in forums, there is still no authority that can be relied on for the security of any investment made on using Bitcoins. This gap in the system invites trouble and even though it's a fraction of the whole, it is still enough to alienate a lot of potential users who still don't understand the currency clearly.

As time goes on various possible outcomes or a vari-

ation of them may occur. They can be generalised in the following -

1. People only use Bitcoins in select circumstances
2. People use Bitcoins insurance to offset risks
3. A new range of Bitcoin services pop up that help offset fluctuating prices through financial instruments like futures and put options
4. Bitcoin escrow services attempt to secure trades so that users aren't defrauded
5. Government disincentives business' from using Bitcoin
6. It becomes expensive for Bitcoin service providers such as exchanges to continue operations
7. Bitcoin becomes a purely underground currency with little mainstream acceptance
8. The government completely bans Bitcoin and other unregulated virtual currencies

Its important to note that any positive measures that help users, such as the first four mentioned above would mean an increased cost of transaction,